

# **Lululemon Athletica Inc**

## **Corporate Finance Analysis**

Capital Budgeting, Working Capital Management,  
Risk Analysis & Firm Valuation

**Introduced by :-**

**Mohammed Baqer**



# COMPANY & INDUSTRY OVERVIEW



- Lululemon- Company Background

1998 - yoga-related design studio



Now - premium athletic apparel



North America - Europe - Asia

- Lululemon - Strategic Positioning



To double 2021 revenue by 2026 through product innovation, digital expansion and international growth (Lululemon Athletica, 2025).

# COMPANY & INDUSTRY OVERVIEW



Industry Overview – Athletic Footwear & Outdoor Apparel Markets

Largest & fastest growing categories.



USD182B in 2025 and USD257B by 2030.  
(Mordor Intelligence, 2025).



Participation in **sport**, demand for **reliable** and **high-performance**.



At the **top** of the markets.

Relying on a brand known for **quality & comfort & expand ability**.

# INVESTMENT PROJECTS OVERVIEW

## Project 1

The Beyondfeel Running Shoes  
Lifespans: 6 Years



The Trail & Travel Apparel Line  
Lifespans: 3 Years

## Project 2



The background features a series of concentric circles and wavy lines in shades of gray, creating a dynamic, tunnel-like effect. A large, light gray circle is centered in the image, serving as a backdrop for the text.

# **CAPITAL BUDGETING ANALYSIS & COST OF CAPITAL**

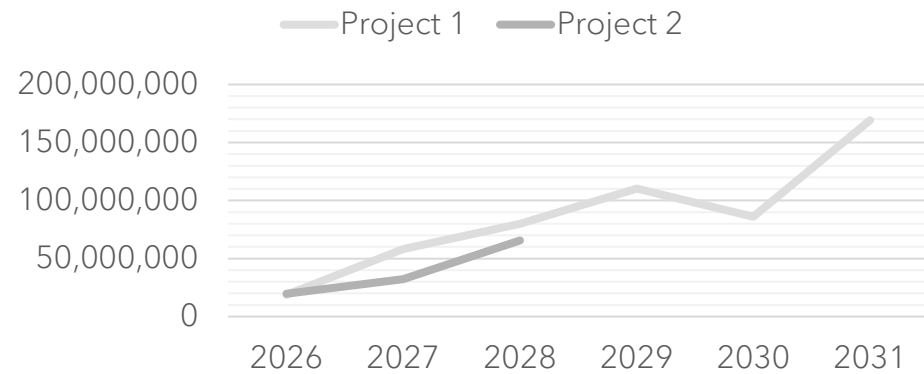
# Initial Investment

| Component                 | Project 1- The Beyondfeel Running Shoes |
|---------------------------|-----------------------------------------|
| Factory construction cost | \$210,000,000                           |
| Networking capital        | -                                       |
| Other cost                | -                                       |
| Total:                    | \$210,000,000                           |

| Component                      | Project 2 - The Trail & Travel Apparel Line |
|--------------------------------|---------------------------------------------|
| Equipment purchase             | \$12,000,000                                |
| Design technology acquisition  | \$60,000,000                                |
| Increase in networking capital | \$18,000,000                                |
| Total:                         | \$90,000,000                                |

# Cashflows

## Free cash flows comparison



| Year | Project 1       | Project 2       |
|------|-----------------|-----------------|
| 0    | (\$210,000,000) | (\$90,000,000)  |
| 2026 | \$18,701,190    | \$19,708,149.50 |
| 2027 | \$58,106,664    | \$32,251,760.90 |
| 2028 | \$79,854,520    | \$65,585,694.69 |
| 2029 | \$110,366,970   | -               |
| 2030 | \$85,994,960    | -               |
| 2031 | \$169,272,650   | -               |

## Analysis :-

- Project 1's cashflows **rise** steadily across **6 years**
- Project 2 **ends** after **3 years** with lower cumulative cash flows
- Project 1 generates substantially **higher total value** over its life
- Shorter horizon **limits** project 2's contribution to **overall value**
- Final year includes both **operating cashflow** and **terminal cash inflow**

# WACC For Overall Company

|                     |                                        |
|---------------------|----------------------------------------|
| Cost of equity =    | 9.11%                                  |
| Risk free Rate      | 4.01% (Trading Economics, 2025)        |
| Beta                | 1.02 (Yahoo Finance, 2025)             |
| Market risk premium | 5% (Kroll, 2025)                       |
| Cost of debt =      | 0%                                     |
| Interest expense    | \$0                                    |
| Total debt          | \$1,760,000,000 (Yahoo Finance, 2025)  |
| Effective tax rate  | 30.5% (Lululemon, 2025)                |
|                     |                                        |
| Firm value          | \$21,840,000,000 (Yahoo Finance, 2025) |
| Total equity        | \$20,080,000,000                       |
| Total debt          | \$1,760,000,000                        |
| Equity weight       | 91.94%                                 |
| Debt weight         | 8.06%                                  |
| WACC =              | 8.38%                                  |

# WACC For Projects 1 & 2

| Component           | Project 1        | Project 2       |
|---------------------|------------------|-----------------|
| Cost of equity =    | 9.91%            | 11.26%          |
| Risk free Rate      | 4.01%            | 4.01%           |
| Beta                | 1.18             | 1.45            |
| Market risk premium | 5%               | 5%              |
| Cost of debt =      | 10.64%           | 11.03%          |
| Interest expense    | \$1,800,000      | \$800,000       |
| Total debt          | \$16,923,076.92  | \$7,252,747.25  |
| Effective tax rate  | 21%              | 21%             |
| Initial investment  | \$210,000,000    | \$90,000,000    |
| Total equity        | \$193,076,973.08 | \$82,747,252.75 |
| Total debt          | \$16,923,076.92  | \$7,252,747.25  |
| Equity weight       | 91.94%           | 91.94%          |
| Debt weight         | 8.06%            | 8.06%           |
| WACC =              | 9.79%            | 11.05%          |

# Capital Budgeting Results

| Technique           | Project 1        | Project 2   |
|---------------------|------------------|-------------|
| Payback             | 3.48 Years       | 2.58 Years  |
| Discounted payback  | 4.18 Years       | 3 Years     |
| NPV                 | \$139,347,228.85 | -\$9,929.60 |
| IRR                 | 25.12%           | 11.99%      |
| Profitability index | \$1.66           | \$0.9999    |

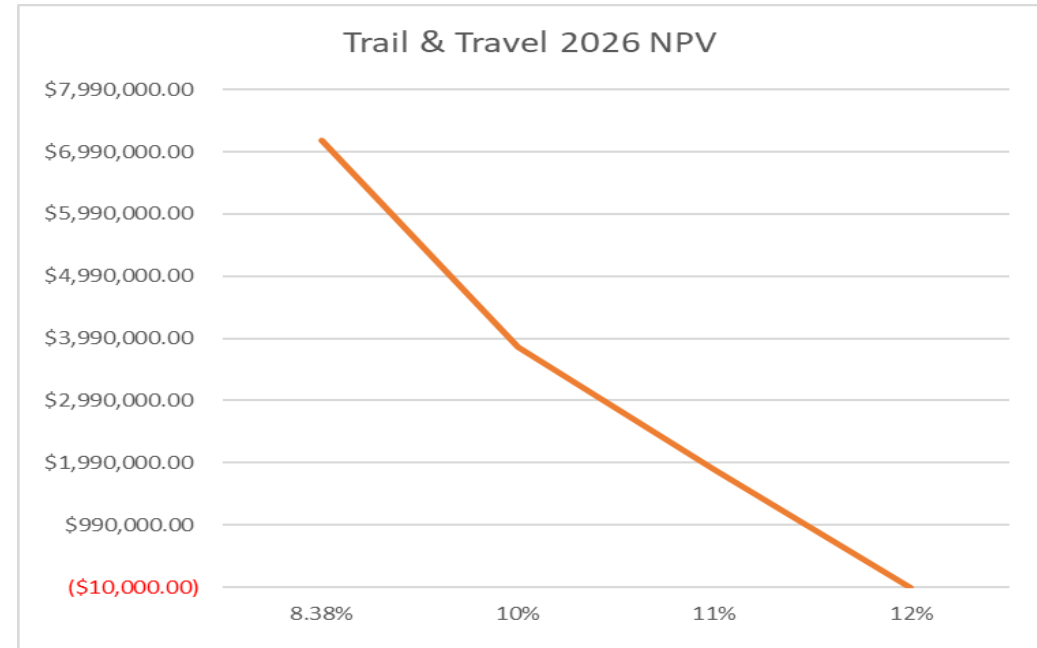
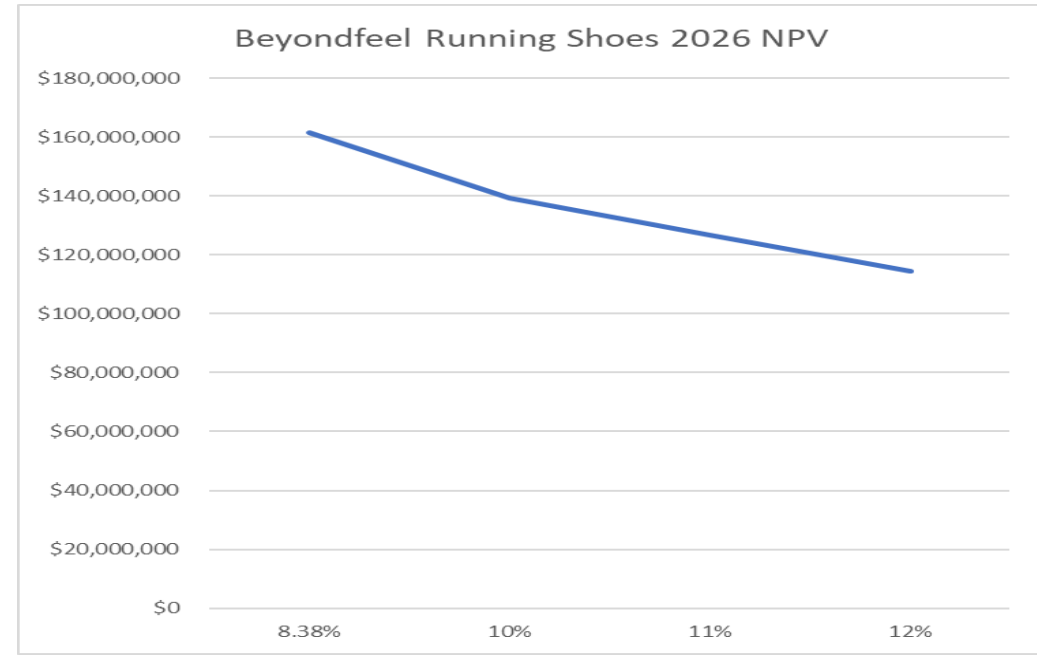
# ANNUALIZED NPV (ANPV)

- Due to the unequal life span of the two projects, I needed to level them by using annualized NPV.
- After performing the necessary calculations, I got an ANPV of 31.99M for project one and an ANPV of -4.13M for project 2.
- Even after leveling the playing field by using ANPV, The advantage goes to project 1 since project 2 has a negative ANPV

|                          |                      |  |  |  |
|--------------------------|----------------------|--|--|--|
| <b>Project 1:</b>        |                      |  |  |  |
| <b>Beyonfeel Running</b> |                      |  |  |  |
| NPV =                    | \$139,347,228.85     |  |  |  |
| Number of Years (n) =    | 6                    |  |  |  |
| Discount Rate =          | 10%                  |  |  |  |
| PVIFA =                  | 4.355                |  |  |  |
| ANPV = NPV/PVIFA         | 139,347,228.85/4.355 |  |  |  |
| ANPV =                   | \$31,997,067.47      |  |  |  |
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# SENSITIVITY ANALYSIS

- I performed sensitivity analysis to measure the effect that the change in discount rate has on the NPV of the two projects.
- Project 1 NPV decreases steadily as the discount rate increases which makes it relatively safe and stable project.
- Project 2 NPV decreases rapidly as discount rate increases, almost a 50% decrease with every 1% increase in discount rate, This makes project 2 risky and unsafe.



# PROJECT RECOMMENDATIONS



- Most metrics such as NPV, payback, IRR, PI and ANPV are in favor of project 1 .
- Even though project 2 has a shorter payback period due to its shorter life span and lower initial investment, it still loses out on the other discussed metrics.
- The better project for lululemon to take on is project 1 its more profitable, has better metrics and lower WACC.

The background features a large, light gray circle centered on the page. Surrounding this circle are numerous thin, white, wavy lines that create a sense of depth and movement, resembling a stylized tunnel or a series of concentric, undulating rings.

# **WORKING CAPITAL MANAGEMENT**

# WORKING CAPITAL ANALYSIS & RECOMMENDATIONS

## STRONG WORKING CAPITAL POSITION

- CURRENT ASSETS : 3980.3 USD (IN MILLIONS)
- CURRENT LIABILITIES : 1839.63 USD (IN MILLIONS)
- NET WORKING CAPITAL : 2140.67 USD (IN MILLIONS)

**Analysis:** A high net working capital shows that Lululemon has strong liquidity and can easily meet short-term obligations. This reflects **operational stability, efficient cash management, and solid financial health**, supporting the company's ability to invest, expand, and handle unexpected financial needs.



# LIQUIDITY RATIO ANALYSIS

## Current ratio

$$\text{Formula : } = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

| Current Ratio | Interpretation                                  |
|---------------|-------------------------------------------------|
| < 1.0         | Unhealthy - cannot cover short-term liabilities |
| 1.0 - 1.5     | Adequate - but could be tight                   |
| 1.5 - 2.5     | Healthy - strong liquidity                      |

## Quick ratio

$$\text{Formula : } \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

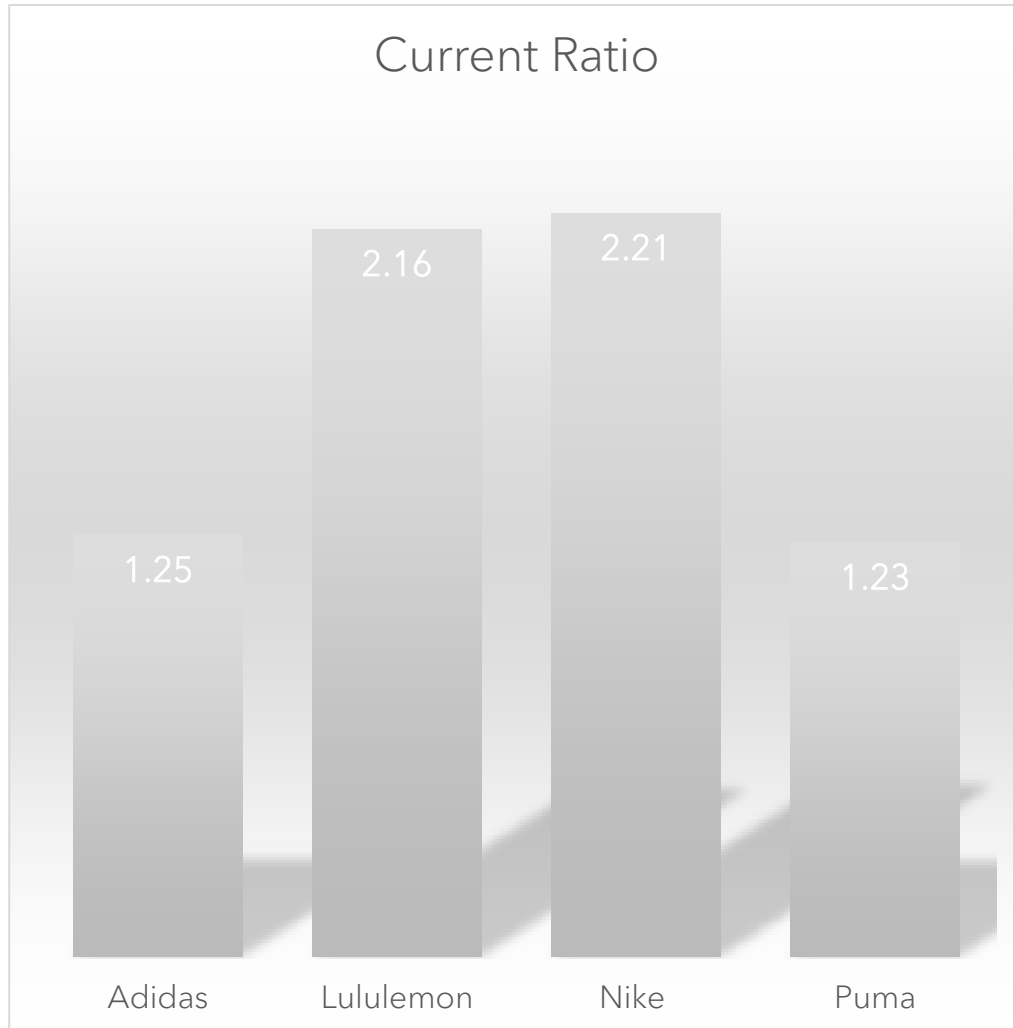
| Quick Ratio | Interpretation                                    |
|-------------|---------------------------------------------------|
| < 1.0       | Liquidity risk - must rely on inventory sales     |
| $\geq 1.0$  | Healthy - enough liquid assets to pay liabilities |
| > 2.0       | Very strong liquidity                             |

## Cash ratio

$$\text{Formula : } = \frac{\text{Cash \& Cash Equivalents}}{\text{Current Liabilities}}$$

| Cash Ratio | Interpretation                                     |
|------------|----------------------------------------------------|
| < 0.5      | Low liquidity - not enough cash on hand            |
| 0.5 - 1.0  | Reasonable for most industries                     |
| $\geq 1.0$ | Very strong - can cover liabilities with pure cash |

# CURRENT RATIO



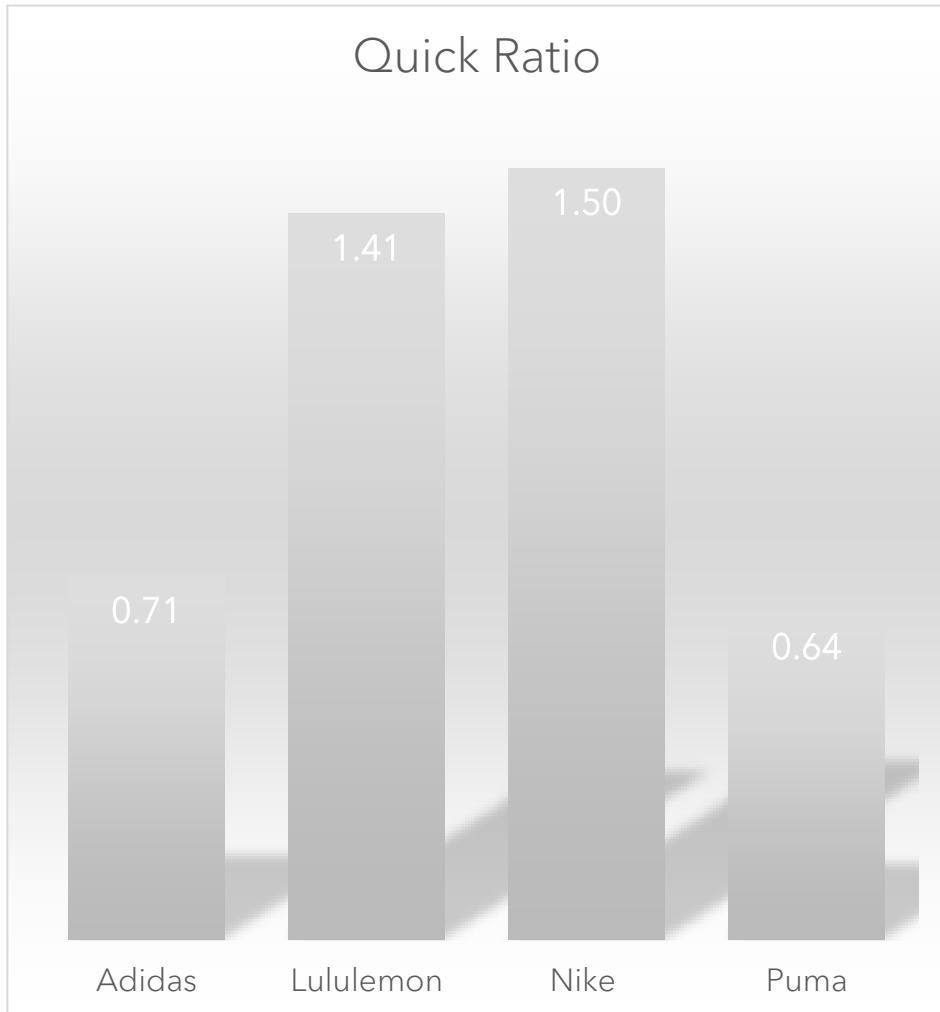
## Analysis

Lululemon's current ratio of **2.16** reflects strong liquidity, outperforming Adidas and Puma and closely matching Nike. This shows solid short-term financial health and effective working-capital management.

## Findings

- Strong ability to meet short-term obligations
- Liquidity position stronger than most competitors
- Supports stable operations and future growth

# QUICK RATIO



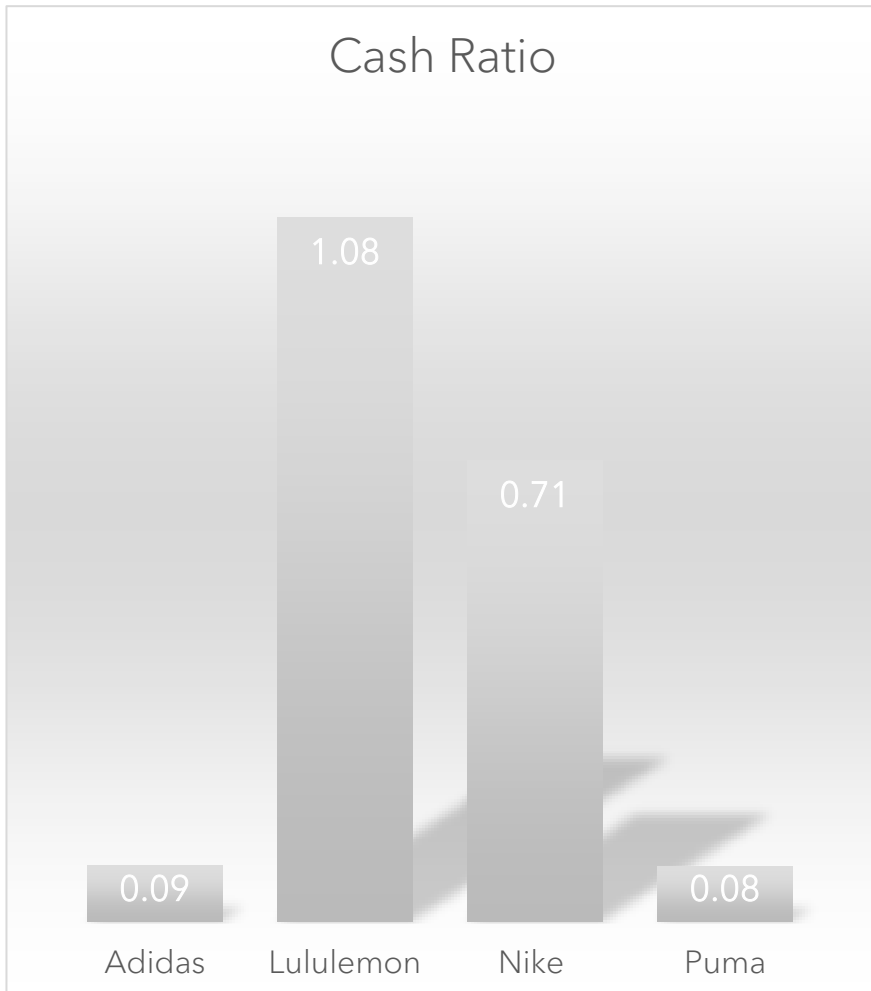
## Analysis

Lululemon's quick ratio of **1.41** shows strong liquidity *without* relying on inventory. It is much higher than Adidas (0.71) and Puma (0.64), and close to Nike (1.50). This indicates Lululemon can meet short-term obligations.

## Findings

- Strong liquid asset base (cash + receivables).
- Faster collection and better liquidity than most competitors.
- Efficient inventory management, since excluding inventory still leaves high liquidity.

# CASH RATIO



## Analysis

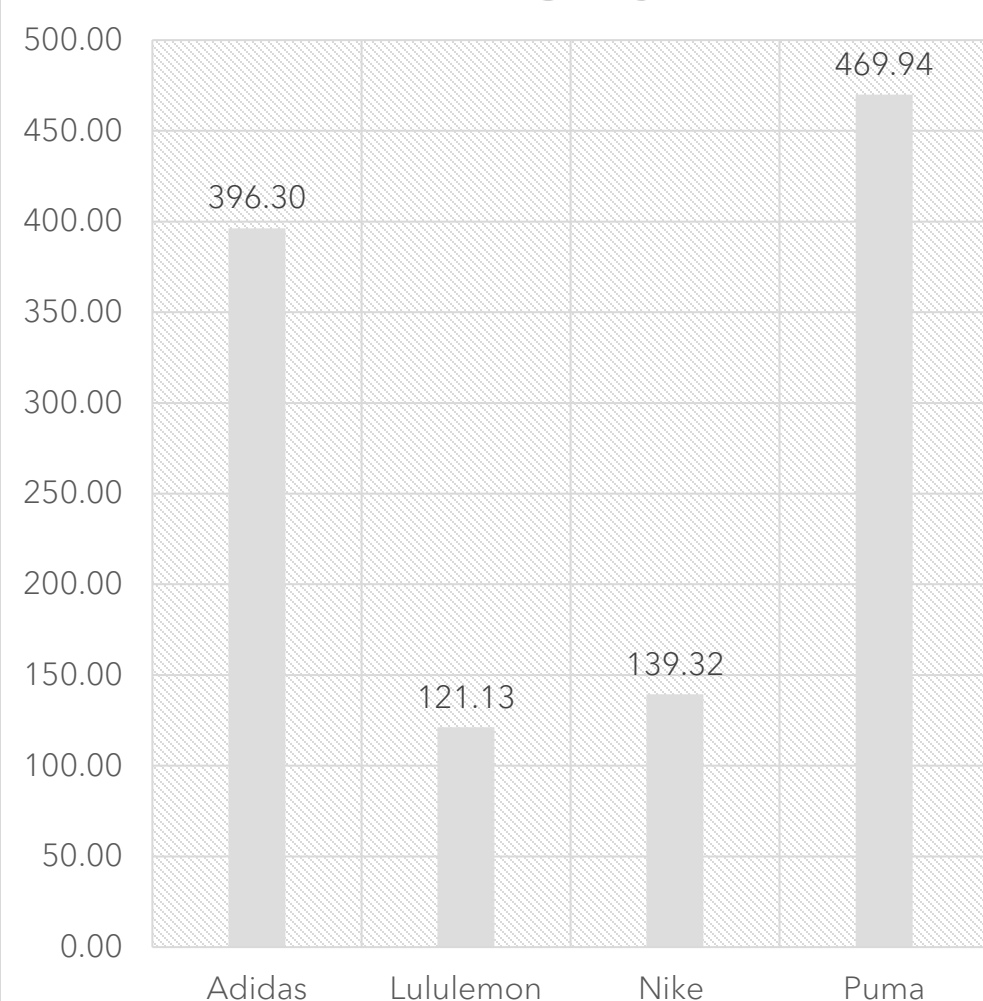
Lululemon's cash ratio of **1.08** is exceptionally strong, meaning it can cover all short-term liabilities using **cash alone**. This far exceeds Adidas (0.09) and Puma (0.08), and is stronger than Nike (0.71), showing a very high liquidity cushion.

## Findings

- Lululemon holds **significant cash reserves**, more than enough to meet immediate obligations.
- Competitors rely heavily on other current assets, while Lululemon has true cash strength.
- Indicates low short-term financial risk.

# Operating Cycle

## Operating Cycle



$$\text{Operating Cycle} = \text{Inventory Period} + \text{Accounts Receivable Period}$$

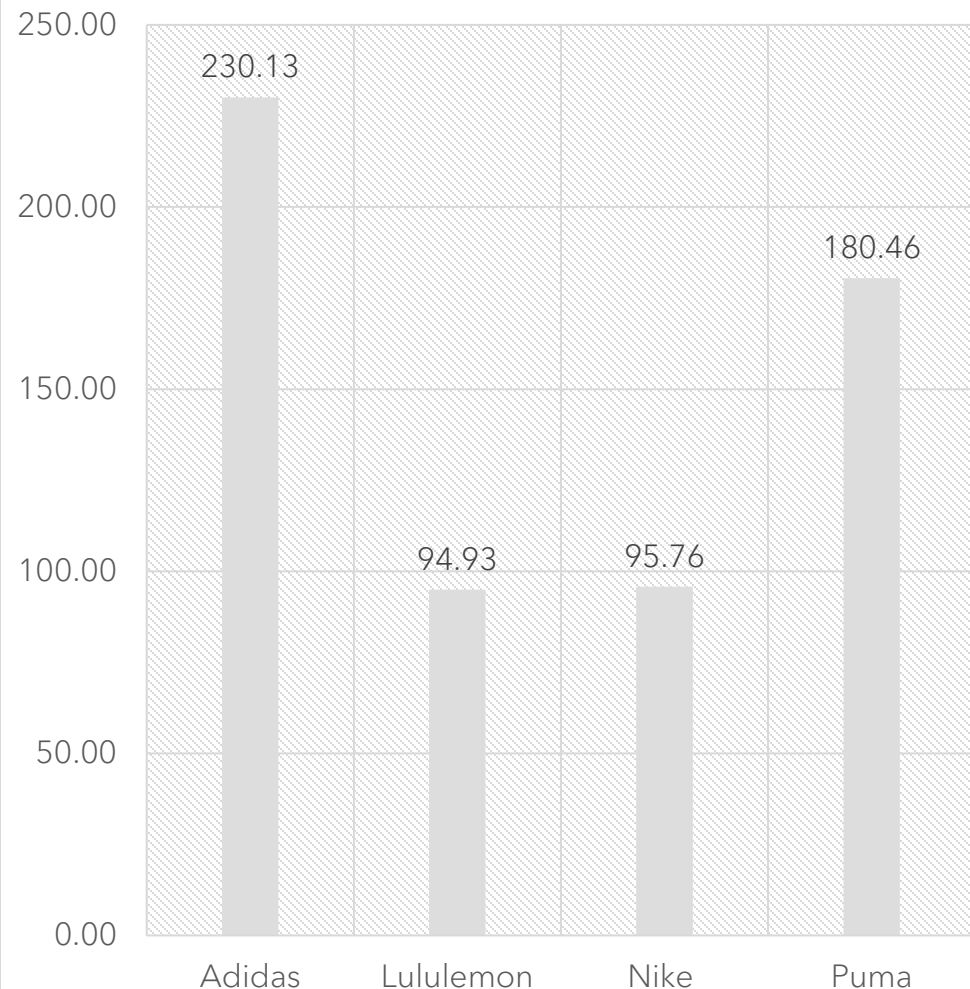
- **Operating Cycle** is the total time it takes a company to convert its investment in inventory back into cash from the moment the inventory is purchased.
- **Lululemon** has an **operating cycle** of around **121 days**, which is much shorter than Adidas and Puma, and even slightly better than Nike. This tells us the company moves inventory quickly and collects cash from customers efficiently.

### Findings :-

- Efficient sales collection
- Faster inventory turnover compared to most competitors

# Cash Cycle

## Cash Cycle



$$\text{Cash Cycle} = \text{Operating Cycle} - \text{Accounts Payable Period}$$

- Cash Cycle is the time the company's own cash is **actually tied up** in the business, starting from the day the company **pays for inventory**.
- Lululemon's cash cycle is around **95 days**, which is much **faster** than Adidas and Puma, who take far longer to turn operations back into cash. This shows Lululemon is **very efficient** at **managing inventory** and **collecting payments**.

### Findings

- Faster cash recovery → better liquidity and lower financing needs
- Efficient inventory movement and quick collection from customers

# Key Recommendation for Lululemon

## Liquidity Optimization

- Lululemon can **continue its current liquidity strategy** because it is working well, but it may also benefit from **using excess cash more efficiently** to improve returns.

## Operational Efficiency

- Lululemon should continue its efficient **inventory management** supported by its short **operating and cash cycles**, while exploring small improvements to keep inventory moving quickly and reduce cash tied up in operations.

Following these recommendations will free additional cash for **growth opportunities** and strengthen Lululemon's overall financial position.



**IMPACT OF  
MANAGERIAL  
DECISIONS ON  
FIRM RISK**

# OVERVIEW OF CAPITAL INVESTMENT STRATEGY

- Lululemon's decisions reflect a growth strategy supported by higher capital spending on stores, international expansion, digital upgrades, and supply-chain improvements.
- CapEx rose from about \$219 million in 2020 to \$652 million in TTM 2024, highlighting long-term competitiveness but increasing operational risk if expansion falls short of expectations ((Lululemon Athletica Inc., 2020, 2021, 2022, 2023, 2024).



# IMPACT OF MANAGERIAL DECISIONS ON FIRM RISK

## Business Risk



- Rising revenues and profitability come with added business risk. Lululemon's TTM 2024 revenue exceeded \$10 billion,
- With gross profit at \$6.2 billion and operating income at \$1.7 billion. While this reflects strong performance, rapid growth has increased operating costs, and reliance on global supply chains and international expansion has heightened operational risk (Lululemon Athletica Inc., 2024).

# IMPACT OF MANAGERIAL DECISIONS ON FIRM RISK

## Financial Risk



- Financial risk remains low because Lululemon carries very little long-term debt—essentially zero from 2020 to 2024 (Lululemon 10-K, 2024).
- Equity rose from \$2.1 billion in 2020 to \$5.9 billion in 2024. Share repurchases support shareholder value but slightly reduce liquidity.

# IMPACT ON OVERALL RISK PROFILE

- *Capital investment and financing decisions significantly influence Lululemon's enterprise and financial risk. Strong revenue and gross profit growth show the benefits of these investments, but they also bring higher operating costs and exposure to economic volatility.*
- *Balancing strategic investment with careful risk management is crucial for long-term stability.*



The background features a large, light gray circle centered on the page. Surrounding this circle are numerous thin, white, wavy lines that create a sense of depth and movement, resembling a stylized landscape or a series of concentric ripples. The overall color palette is monochromatic, using shades of gray and white.

# **RISK ANALYSIS**

# Key Risk Factors

## Market Demand Risk

Weak consumer spending along with a reduction in holiday purchasing (The Star, 2025)

## Competition Risk

Strong competitors with lower prices such as Nike and Adidas (The Star, 2025)

## Operational Risk

Delays with factories in Cambodia and disrupted supply chains (Lululemon Athletica Inc., 2024)

## Financial Risk

inflation, tariffs, and a \$210 million investment in new factories contribute to high costs (The Star, 2025).

## Regulatory Risk

Trade restrictions and the Uyghur Forced Labor Prevention Act (TipRanks, 2025)

## Geographical Risk

China and Vietnam account for 40% of production, which forms a geo reliance (Lululemon Athletica Inc., 2024)

## Reputational Risk

Damage to a premium brand image may stem from the introduction of new products. (Lululemon Athletica Inc., 2024)

# Impact on Performance

- Increased operational and production costs (The Star, 2025)
- Lesser profit margins in 2025-2026 (The Star, 2025)
- Weak demand reduces cash flow (The Star, 2025)
- Product launch timelines affected by delays (Lululemon Athletica Inc., 2024)
- Reduced net present value (NPV) of both projects (Grant, 2025)



# Firm Valuation

- To estimate Lululemon's value, I compared it with industry standards using two key market multiples:
  - First: **P/E Multiple**
  - Second: **EV/EBITDA Multiple**
  - Additional : P/B Ratio (in Appendices)

Notes:

- No dividend or buyback valuation applied
- ASICS used instead of Puma

# P/E Multiples

SUMMARY of Current P/E ratio



- The P/E ratio shows how much investors are willing to pay for each dollar of a Lululemon earnings

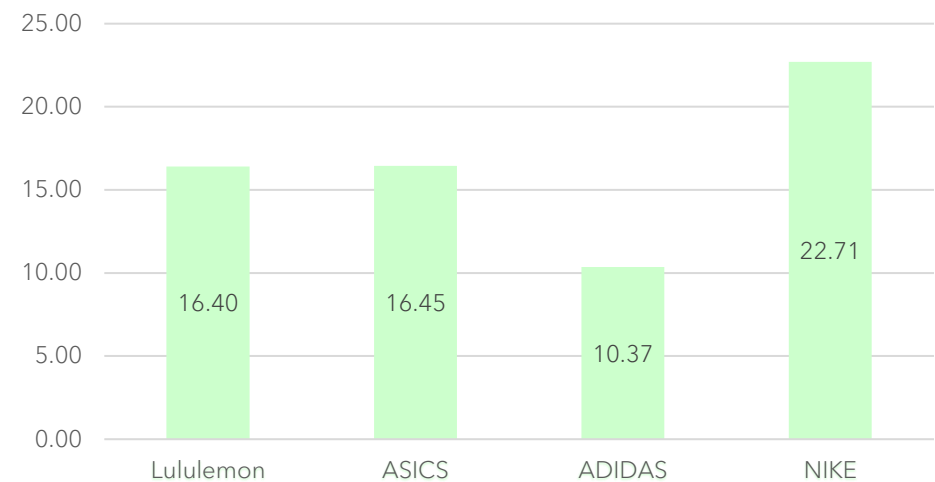
Formula:

**Stock Price = (Competitors Average P/E Ratio) × EPS**

| PE multiple |   |                  |                       |
|-------------|---|------------------|-----------------------|
| Current EPS |   | Industry Average | Estimated Stock Price |
| 14.64       | × | 28.70            | = 420.168             |

# EBITDA multiple

SUMMARY of Current EBITDA



- EV/EBITDA measures a company’s value relative to its operating performance

Formula:

$V_0 = (EBITDA) \times (\text{Industry EV/EBITDA Multiple})$

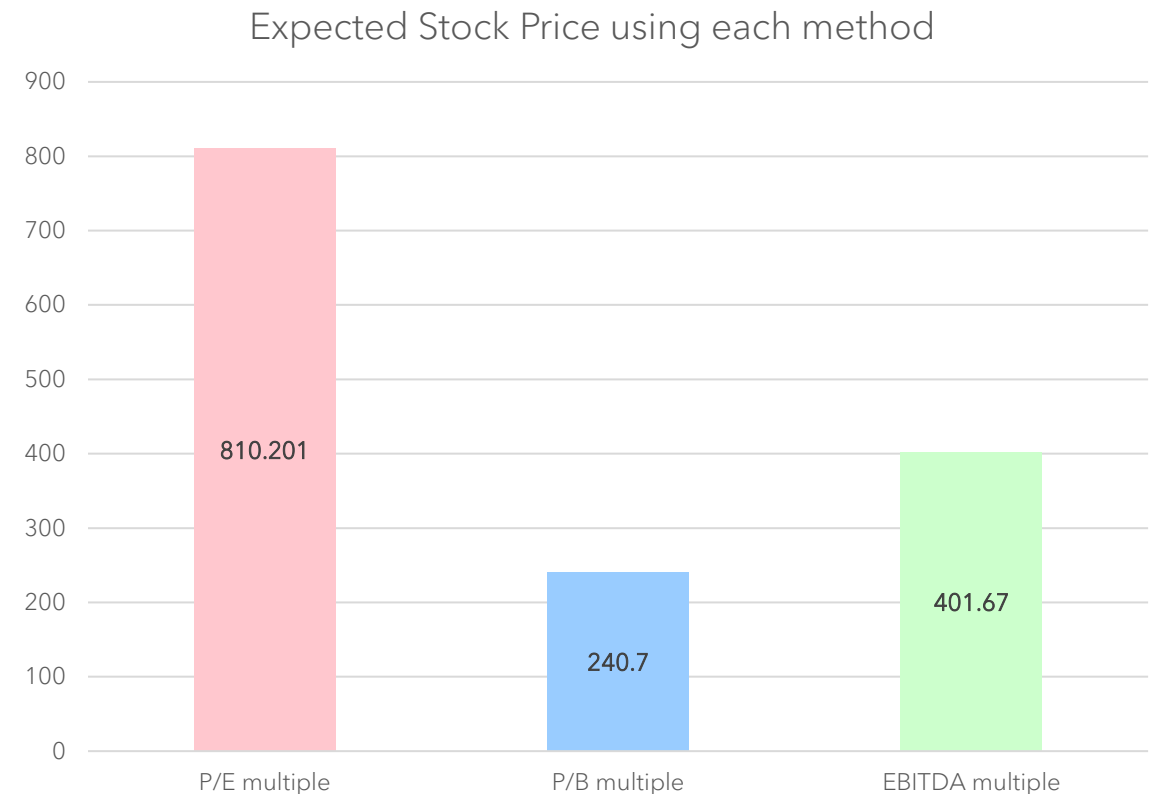
$$P_0 = \frac{V_0 + \text{Cash}_0 - \text{Debt}_0}{\text{Shares Outstanding}_0}$$

| EBITDA   | EBITDA Multiples | V0        |  |  |
|----------|------------------|-----------|--|--|
| 2,955.72 | 16.5             | 48,798.94 |  |  |

| Stock Price estimation |          |       |         |                       |
|------------------------|----------|-------|---------|-----------------------|
| V0                     | Cash     | Debt  | #Shares | Estimated Stock Price |
| 48,798.94              | 1,984.34 | 12.40 | 126.4   | 401.67                |

# FINAL VALUATION & METHOD CHOICE

- P/E, P/B and EV/EBITDA offer varying perspectives through which the value of Lululemon can be assessed.
- EV/EBITDA provides the best estimate since to provide the operating performance and at the same time factors in debt, liquidity and debt.
- The multiples indicate that Lululemon is highly valued in comparison with peers.





**THANK YOU FOR  
LISTENING**